

If price pierced the point A support zone at 15.50, I would expect a continued decline to the September low. To play it safe, perhaps a target of 14.50 (above the September tail because you do not want to place a target based on an outlier spike) would work.

A stop would have closed out my short position at the prior minor high (near the price level where the word “Pullback” points in the figure).

Why do chart patterns fail? Who knows? They just do. Use stops to protect your position and use conservative price targets.

Statistics

[Table 24.2](#) shows general statistics for diamond tops.

Number found. I scoured my three databases to unearth enough diamonds to make the statistics tables worthwhile. I found the first pattern in August 1991 and the most recent in November 2019. I found 896 diamond tops in 539 stocks, but not all stocks covered the entire period and some no longer trade. Bear market samples were too few to include in this chapter.

Reversal (R), continuation (C) occurrence. Because we know price trends upward into the pattern, an upward breakout means the pattern acts as a continuation. Those with downward breakouts act as reversals.

Average rise or decline. As I mentioned previously, the meager rise falls well short of what we see in other chart patterns. However, downward breakouts do well for a bearish breakout.

Standard & Poor's 500 change. The numbers suggest how well you could have done if you bought the stocks in the index as opposed to trading the diamonds perfectly. The numbers also show the influence of the general market on the average rise or decline. A large up move (bull market) helped price rise while a downward move (bear market) pulled the stock lower.